

Digital Business



Topic 5

B2B E-Business

Learning Objectives

- 5.1** Discuss the evolution and growth of B2B e-business, as well as its potential benefits and challenges..
- 5.2** Understand how procurement and supply chains relate to B2B e-business.
- 5.3** Identify major trends in supply chain management and collaborative commerce.
- 5.4** Understand the objectives of private industrial networks, their role in supporting collaborative commerce, and the barriers to their implementation.

Trends in B2B business

- Flexibility: growing emphasis on rapid-response and optimal supply chains
- Resurgence in Net marketplaces bringing together hundreds of suppliers and thousands of buying firms
- Supply chain visibility-real time
- Social/mobile commerce and customer intimacy
- Cloud computing
- Internet of Things
- Big data and growing use of business analytics
- Accountable and sustainable supply chains

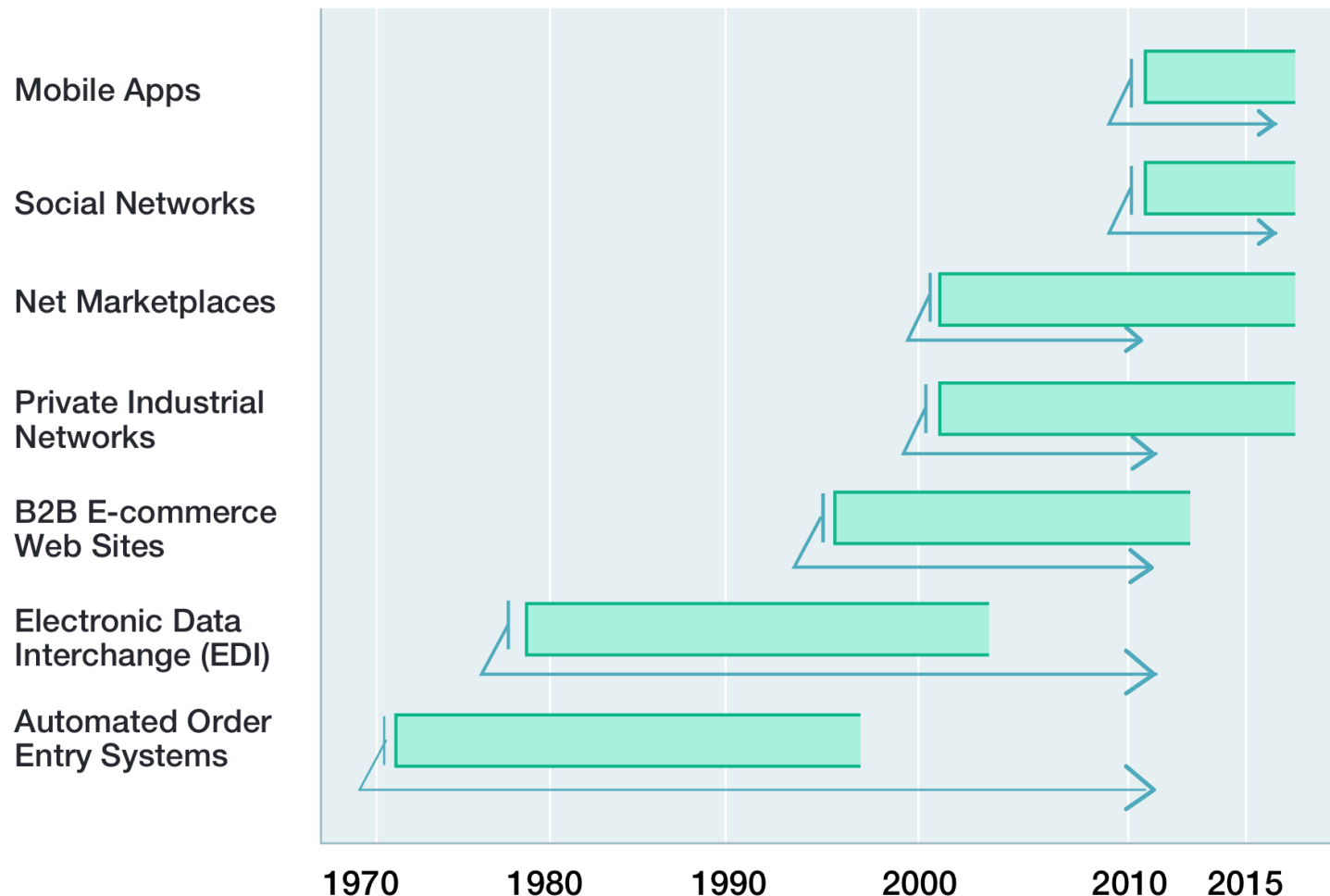
Basic Definitions

- B2B commerce:
 - All types of computer-enabled inter-firm trade
 - Before Internet, B2B transactions called trade or procurement process
- B2B e-commerce:
 - The portion of B2B commerce enabled by the Internet
- Supply chains
 - Organizations, people, business processes, technology, information required to produce products efficiently
 - Often global

The Evolution of B2B Commerce

- Automated order-entry systems
 - Seller-side solution
- Electronic data interchange (EDI)
 - Buyer-side solution
 - Hub-and-spoke system
 - Serve vertical markets
- B2B e-commerce websites
- Net marketplaces
- Private industrial networks

The Evolution of the Use of Technology Platforms in B2B E-commerce



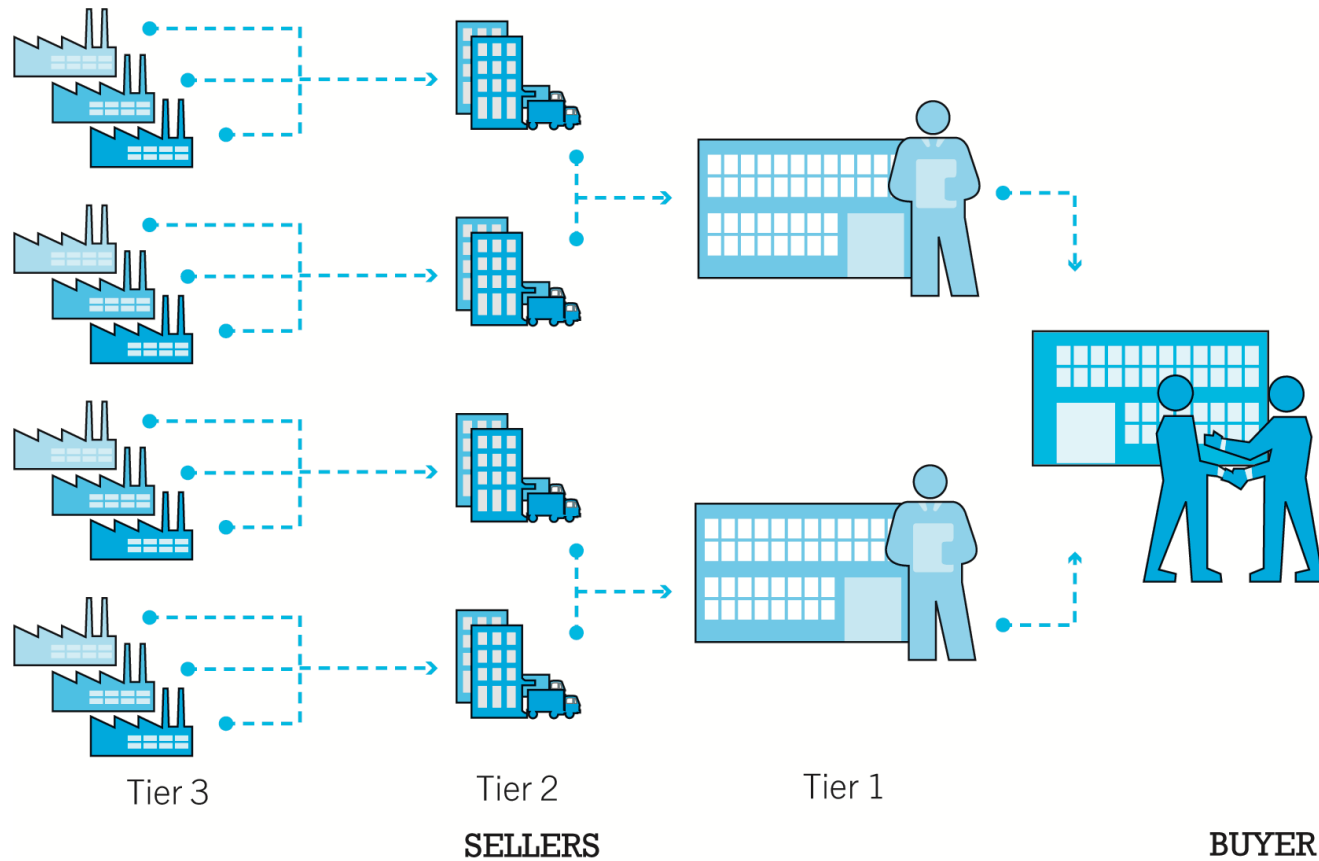
B2B - Industry Value Chains

- Set of activities performed by suppliers, manufacturers, transporters, distributors, and retailers that transform raw inputs into final products and services
- Internet reduces cost of information and other transactional costs
- Leads to greater operational efficiencies, lowering cost, prices, adding value for customers

Firm Value Chains

- Activities that a firm engages in to create final products from raw inputs
- Each step adds value
- Effect of Internet:
 - Increases operational efficiency
 - Enables product differentiation
 - Enables precise coordination of steps in chain

Figure 12.5 The Multi-Tier Supply Chain



Trends in Supply Chain Management

- Supply chain management (SCM)
 - Activities used to coordinate procurement process
- Major trends in SCM
 - Continual efforts to improve process
 - Trends include: Just-in-time and lean production, supply chain simplification, adaptive supply chains, sustainable supply chains, electronic data interchange, supply chain management (SCM) systems

Just-In-Time and Lean Production

- Just-in-Time production
 - Method of inventory cost management
 - Seeks to keep excess inventory at a bare minimum
- Lean production
 - Set of production methods and tools
 - Focuses on elimination of waste throughout customer value chain, not just inventory

Supply Chain Simplification

- Reducing size of supply chain
 - Working with strategic group of suppliers to reduce product and administrative costs and improve quality
- Essential for just-in-time production models
- May involve:
 - Joint product development and design
 - Integration of computer systems
 - Tight coupling
 - Ensuring precise delivery of ordered parts at specific times

Sustainable Supply Chains

- Taking social and ecological interests into account
 - For example: water usage, air pollution
- Using most efficient environment for production, distribution, logistics
 - Good business, over long-term
 - Good risk management
 - Create value for consumers, investors, communities

Mobile B2B

- Mobile devices increasingly important in all aspects of B2B e-commerce
 - Used in all phases of purchase process
 - Users increasingly expect B2B e-commerce sites to be accessible from mobile devices
- Bring Your Own Device (BYOD) policies
- Supply chain software and network providers providing support for mobile platform

B2B in the Cloud

- Cloud-based B2B systems
 - Shift much of the expense of B2B systems from firm to B2B network provider (data hub or B2B platform)
- Cloud platform owner provides
 - Computing/telecommunications capabilities
 - Software
 - Connectivity
 - Data cleansing and quality
 - File storage
- Network effects: Costs spread out over all members
- Cloud-based solutions can be implemented rapidly

Social Networks and B2B

- Social networks can provide personal connections that can help decision making in supply chain
- Example: Dell's YouTube channel
- Example: Cisco's Facebook pages for product campaigns for business clients

B2B Marketing

- More interpersonal than traditional retail marketing
- B2B contract selling
 - Very long-standing relationships between suppliers and buyers
- Spot purchase markets for MRO, commodities
 - More similar to B2C marketing tactics
 - Mobile advertising
 - Predictive analytics
 - Sales enablement systems

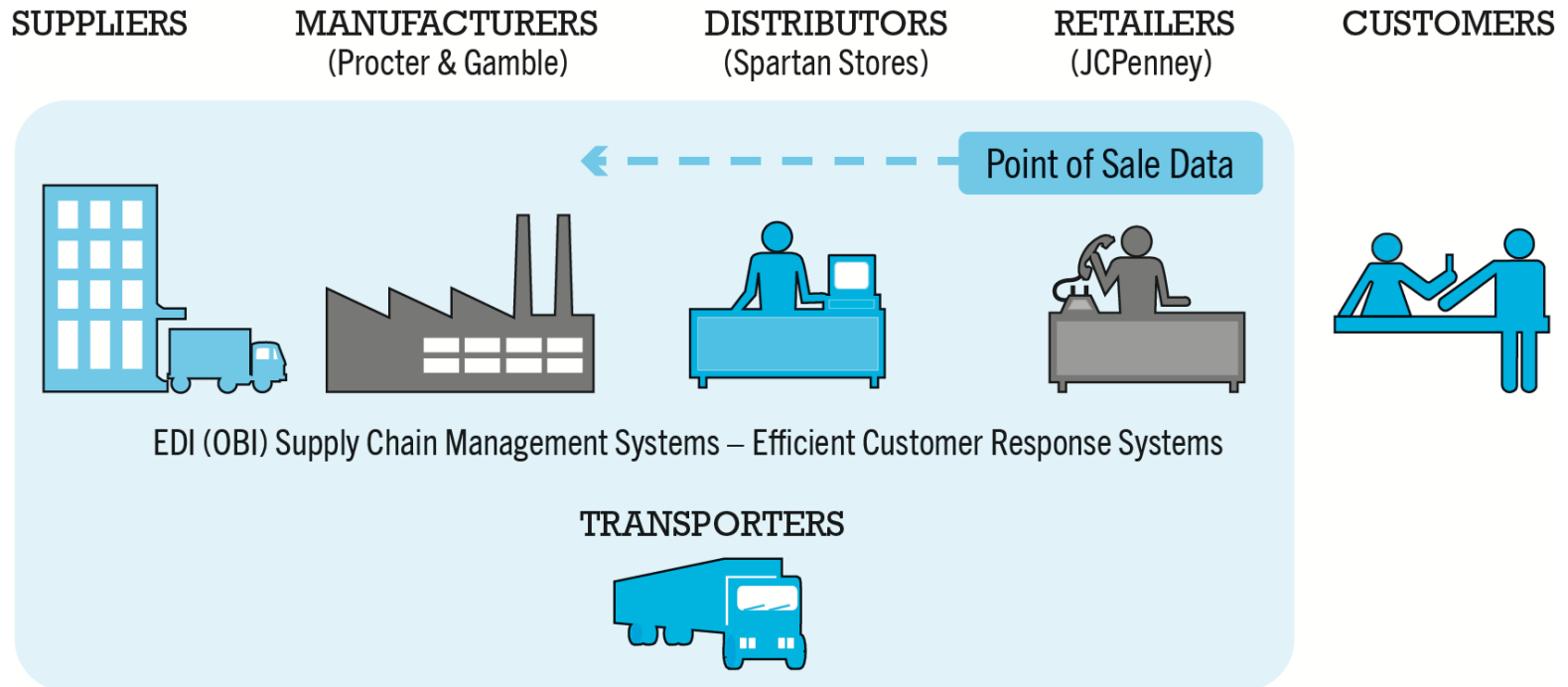
Private Industrial Networks (1 of 2)

- Most prevalent form of B2B e-commerce
- Web-enabled networks for coordination of trans-organizational business processes (collaborative commerce)
 - Direct descendant of EDI; closely tied to ERP systems
 - Manufacturing and support industries
 - Single, large manufacturing firm sponsors network
- Range in scope from single firm to entire industry
- Example: Procter & Gamble

Private Industrial Networks (2 of 2)

- Objectives include:
 - Efficient purchasing and selling industry-wide
 - Increasing supply chain visibility
 - Closer buyer-supplier relationships
 - Global scale operations
- Focus on continuous business process coordination
- Typically, focus on single sponsoring company that “owns” the network

P&G's Private Industrial Network



Private Industrial Network

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Implementation Barriers

- Concerns about sharing of proprietary, sensitive data
- Integration of private industrial networks into existing ERP systems and EDI networks difficult, expensive
- Requires change in mindset and behavior of employees and suppliers
 - All participants lose some independence

Potential Benefits and Challenges of B2B E-commerce (1 of 2)



- Lower administrative costs
- Lower search costs for buyers
- Reduced inventory costs
- Lower transaction costs
- Increased production flexibility by ensuring just-in-time parts delivery
- Improved quality of products by increasing cooperation among buyers and sellers

Potential Benefits and Challenges of B2B E-commerce (2 of 2)



- Decreased product cycle time
- Increased opportunities for collaboration
- Greater price transparency
- Increased visibility, real-time information sharing
- However, some risk is posed by increased globalization and consolidation

Questions??

